



SHINY RETURNS

- 24 | ● Silver ETFs have generated average returns of 28% in one year
● Silver's usage in green tech is propelling its industrial demand

Funds	3-Month return (%)	6-Month return (%)	1-Year return (%)
HDFC Silver ETF	29.61	23.20	29.31
ICICI Prudential Silver ETF	29.24	23.54	27.49
Kotak Silver ETF	29.20	23.48	27.39
DSP Silver ETF	29.20	23.45	27.33
UTI Silver ETF	29.47	23.79	27.20

PERFORMANCE OF THE TOP 5 SILVER ETF FUNDS; **SOURCE** VALUE RESEARCH, DATA AS ON MAY 28, 2024

allowing investors to benefit from its price movements and potential upside. ETFs typically have a low expense ratio, ensuring cost-efficient investment management.

Furthermore, silver ETF units are held digitally in a demat account. So, one need not worry about theft, storage or insurance.

In case if the investor does not have a demat account, investment can be carried out through a silver ETF Fund of Fund (FoF).

A FoF is just like any other mutual fund wherein one can initiate

lump sum or SIP investment, as per one's portfolio requirement.

SHOULD YOU BET?

Silver typically exhibits a strong correlation with gold prices. In 2024, silver prices have outperformed gold by a significant margin. Dhawan says, "Due to silver's strong fundamentals, its outperformance may persist throughout the year. Silver's usage in green tech is propelling its industrial demand, especially from solar and

electric vehicle segments."

Haria expects the demand for silver to remain buoyant due to its wide-ranging industrial application and investment demand. He, however, says that the finite supply of the metal, along with challenges in mining and refining could be constraints. "The delicate balance between demand and supply dynamics influences silver prices, making it an attractive investment option for savvy investors," he says.

Global silver ETFs are currently at 696 million troy ounce, compared with 887 million troy ounce seen at the start of 2022, a 22% decline in holdings in a span of 2.5 years. Chainwala says that inflows were recorded in March 2024 through mid-April, which once again declined as markets priced in fewer rate cuts this year.

"Having said that, investment activity is expected to pick up once the Fed starts cutting rates," she adds. **BT**

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